

Starbucks Q4 2025 Earnings

Blind Sentiment & Directional Score: Earnings call Q&A only

David Eji

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Earnings call Q&A only** as the **ONLY** report content. The other sections (the reported financial results, forward guidance) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Starbucks Corporation (SBUX)
Report	Fiscal Q4 2025 (September quarter)
Release date	Wednesday 29 October 2025, after close
Earnings call	4:15pm ET
Source	Motley Fool transcript
Read mode	cold; earnings call Q&A extracts only, no reported results, no guidance, no price chart
Time to produce	42 minutes

Source material (read ONLY this)

Earnings call Q&A extracts (assigned source: Q&A only)

1. *"In September was the first month we actually had comps positive comps driven by transactions"* (Brian Niccol, CEO).
2. *"You'll see that continue to annualize into the early parts of this year"* (Cathy Smith, CFO, on the Green Apron labor investment).

3. *"We have seen a really nice response both in transactions and sales over this most recent quarter"* (Brian Niccol, CEO, on China).
4. *"Expect coffee to continue to be a headwind, at least through the first half of fiscal 2026"* (Cathy Smith, CFO).
5. *"It's going to be slightly accretive to our profitability going forward because they were unprofitable"* (Cathy Smith, CFO, on store closures).
6. *"Earnings are going to lag as we continue to annualize now that Green Apron service investment"* (Cathy Smith, CFO).

Your scoring: fill in below, then seal

1 Sentiment score

Score: +0.45

Rationale. September delivered the first transaction-led positive comps, China responded well, and closures are accretive: the turnaround finally shows up in the language.

2 Directional signal

Signal: BUY

Rationale. Inflection language from both the CEO and CFO on the metric that matters most. BUY.

3 Structured summary

- **What the source shows.** Transaction-led positive comps is precisely the proof point the strategy needed.
- **What the source cannot show.** No P&L, so cannot size what the labor investment is costing margins.
- **Expectations bar.** A first inflection usually beats a market braced for a slow grind.
- **Conviction.** Moderate conviction: coffee costs and lagging earnings are flagged but read as secondary.

4 Evidence quotes

1. *"In September was the first month we actually had comps positive comps driven by transactions"* (Brian Niccol, CEO).
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— SEALED —

Overnight move and call verification

SBUX close, 29 October 2025 (release day)	\$84.17
SBUX open, 30 October 2025	\$82.23
Overnight move	−2.30%

Call verification

- HOLD band test: $|-2.30\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is negative, so the correct directional call is **SELL**.
- Score given vs. correct call: signal was **BUY**, correct call **SELL**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	−2.30%
D+1 close	−1.21%
D+3 close	−3.81%
D+5 close	−1.53%
D+10 close	+3.67%
D+20 close	+3.01%